

David

Sorry to have taken time to respond. We've needed to have a number of meetings among the residents and directors to determine our response to your suggestions.

Transfer Certification

Thanks for your confirmation that you will arrange the Certificate needed by Thameside. Please let me know when you have been able to complete this. We hear from Thameside's solicitors that they are progressing other matters relating to the transfer. We still anticipate their ability to meet a January 2014 date for completion.

Water

I attach a paper which specifies which meter belongs to which household at the Courtyard/Farmhouse as requested.

With regard to the suggestion to transfer the 14 households direct to Anglian Water supply, we've spoken to AW who have confirmed that they would not be prepared to provide a direct supply to the 14 Courtyard residents due to the cost and logistics of laying new supply pipework. So as we understand it transferring the 14 residents off the existing supply is not an option.

We are nevertheless willing to accommodate your wish to remove the administration problem for LPL by agreeing to your installation of a new head meter upstream of the 14 individual meters. This new head meter should be installed immediately next to the first set of individual meters, which are in the Calor Gas tank area, in order to avoid any problem of leakage between this meter and the others. CMC will read this meter and supply the reading to you on a quarterly basis. CMC will then pay LPL direct on a quarterly in arrears basis for the water supplied according to this meter reading. CMC will continue to read the 14 individual meters and reclaim the individual costs direct from the 14 household owners. This will also eliminate for you any future problem of water bills not being paid by renting occupants. If you are in agreement, this change could be implemented immediately as it does not relate to the Thameside transfer.

A more simple alternative option avoiding the need for a new head meter would be for CMC to read the 14 individual meters and supply you the total usage figure, which CMC would then pay as above. Please let me know what you'd like to do.

Access Road

Thank you for the breakdown of access road usage/costs and the further spreadsheet indicating what the additional costs might be if grass cutting, lighting, cameras and tree work were taken into account as you've asked us to consider.

As we've agreed the sums of money here are modest. The residents feel that their liability is defined by their conveyance documents which specify contributing to the access road upkeep and repair according to use. They also observe there is no precise basis for allocating percentages of use calculations, but that it is the increasing numbers of HGV movements which comprise the major wear and tear on the road. They are nonetheless willing to make a small additional contribution to the wider set of road-related costs provided this can be done on a simple and predictable basis. They

also appreciate that you have said that the annual contribution should fall as your number of tenants increases and that you intend to recoup the cost of any significant structural work to the road (if any) only from new tenants as part of their occupancy arrangements. This is all helpful.

The residents propose that it would be beneficial for both CMC and LPL to adopt a simple flat rate basis for the annual contribution which provides certainty to both parties and eliminates the need for your staff to do elaborate percentage or co-efficient calculations. The average of contributions per household in recent years has been about £20, with £25 estimated for 2013/14. Accordingly we propose that CMC should pay LPL a flat rate annual contribution of £30 per household (a total of £420) from the date of transfer of the communal areas by Thameside. We propose that this agreement should apply for 10 years from that date and be renegotiated in good faith at the end of that period. This will enable both parties to plan their future budgets with certainty on this amount and should mean that as the percentage for purely road costs reduces the balance available towards the other costs increases. We believe this meets the spirit of what you are hoping to achieve while respecting the fact that the contribution has always been said to be modest. We hope it's helpful.

Please let me know if this will meet your requirements.

Best wishes.

Jonathan Pope

Company Secretary - CMC